

How Banks Can Remain Central in a Platform-Driven, Partnership-Led Financial Ecosystem



The global banking landscape is undergoing a structural reset. Systems that were once designed around stability, tight control, and physical infrastructure are now being reshaped by digital-native competitors, platform-driven ecosystems, and rising customer expectations. At the core of this shift is a pressing question: can banks transform quickly enough to remain relevant in a world where financial services are increasingly invisible, embedded, and always on?

Large banks are already heavily engaged in modernizing their systems, data infrastructure, and operating models. However, this transformation is constrained not only by legacy architecture, but also by silos, fragmented ownership, and competing priorities - creating ongoing trade-offs between speed, control, and risk.

Legacy Constraints

Traditional banks have long served as the backbone of the global financial system, built on monolithic core systems designed for branch banking, batch processing, and predictable

customer needs. While these systems delivered scale and reliability, they were never built for continuous change or real-time digital ecosystems.

Today, this legacy foundation has become a structural constraint. Monolithic architectures are inherently rigid: even minor changes such as launching a new product feature, integrating third-party APIs, or modifying customer journeys require long development cycles, and carry operational risks. This slows the pace of innovation and makes banks structurally less competitive in an environment, where speed and adaptability drive competitive advantage.

Additionally, legacy infrastructure drives high IT costs, creates a need for highly specialized talent, and delivers limited scalability compared to cloud-native models. This puts sustained pressure on cost-to-income ratios in a margin-constrained industry.

Progressive Modernization Approach

As a result, banks are adopting a progressive modernization approach rather than full core replacement. Legacy systems continue to serve as the system of record, while new capabilities are built on top, supported by cloud infrastructure that enables selective scalability. At the center of this architecture remains the transaction ledger - the foundational layer of financial integrity, compliance, and trust - which makes full replacement structurally and regulatorily difficult.

Fintechs have emerged not as full-scale replacements for banks but as targeted unbundlers of financial services, focusing on high-friction domains such as payments, lending, wealth management, and digital onboarding while delivering faster and more intuitive experiences.

Their key differentiator is execution velocity - fintechs operate with lighter architectures and faster deployment cycles, while banks must balance innovation with regulatory compliance, systemic risk, and operational resilience. This has created a dual dynamic in which fintechs are breaking traditional banking value chains by isolating and optimizing specific services, while ecosystem players and incumbents simultaneously reassemble these components through partnerships and integrations to create more seamless, end-to-end financial experiences.

According to a research study by McKinsey, fintechs are driving a disproportionate share of innovation, representing around 40% of firms in their AI tracking universe but accounting for around 70% of AI-enabled banking initiatives. This underscores a clear structural gap between incumbents and fintech - incumbents are constrained by legacy systems and organizational inertia, while fintechs move far more quickly from experimentation to deployment.

A 2025 KPMG banking technology study further reinforces this shift, with over half of banks citing fintech competition as a primary driver for accelerating digital transformation, especially in customer experience and channel modernization.

Big Tech and Agentic AI Reshaping Banking Ecosystems

This dynamic is further amplified by Big Tech firms such as Apple and Google, which embed financial services into platforms that already dominate user engagement, shifting activity away from traditional banking interfaces into broader digital ecosystems. Rather than straightforward disintermediation, this reflects a reallocation of value chain control, where Big Tech firms own distribution and user experience layers while banks retain regulated financial intermediation and balance sheet functions. Partnerships such as Goldman Sachs and Apple illustrate this model, with banks operating as regulated infrastructure providers embedded within external ecosystems. However, Big Tech participation remains selective, focusing less on full-scale banking expansion and more on payments, embedded credit, and transactional convenience to strengthen ecosystem lock-in.

Agentic AI represents the next structural shift in banking technology, enabling systems to execute goal-driven workflows, and introducing partial autonomy into financial operations. Banks are adopting these capabilities cautiously, focusing on high-confidence areas such as fraud detection, risk modeling, compliance workflows, regulatory reporting, developer tooling, and customer engagement orchestration, with credit decisioning emerging as an early applied use case.

The key constraint is not capability but governance, with regulatory scrutiny, model risk management, and explainability requirements limiting full autonomy. The industry is therefore moving toward progressive autonomy, where AI first augments workflows and gradually expands into controlled execution areas such as compliance automation and treasury optimization. This shift is less about replacing human judgment and more about redefining decision boundaries within regulated environments.

Conclusion

The future relevance of banks will depend less on balance sheet strength alone and more on how well they plug into platform-driven financial ecosystems. As embedded finance, AI-native operations, and API-based distribution become the norm, competitive advantage will shift toward how well banks can integrate, coordinate, and adapt - rather than simply owning the customer relationship.

This shift is fundamentally redefining intermediation itself, as financial services become embedded within non-banking platforms and delivered as modular, API-enabled capabilities. Within this structure, banks are likely to evolve along two paths: either as regulated infrastructure providers focused on balance sheets, payments, and compliance, or as ecosystem orchestrators that actively participate in Banking-as-a-Service, partnerships, and platform-led distribution.

Banks that succeed will move beyond legacy constraints and rearchitect themselves as modular, platform-ready organizations instead of traditional vertically integrated institutions. Those that fail to adapt will remain viable but increasingly operate like regulated infrastructure within ecosystems shaped and controlled by external platforms.